



ADMAS UNIVERSITY
FACULTY OF BUSINESS
DEPARTMENT OF ACCOUNTING &
FINANCE
MODEL EXIT EXAM-I CODE- K001



This Exam Booklet contains 100 MCQ under Five thematic areas, as the details shown below.

DISTRIBUTIONS OF QUESTIONS		
THEMATIC AREAS	COURSES INCLUDED	NUMBER OF QUESTIONS
1. FINANCIAL ACCOUNTING AND REPORTING	<i>Fundamentals of Accounting I</i>	8
	<i>Fundamentals of Accounting II</i>	8
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	<i>Intermediate Financial Accounting II</i>	7
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2. COST AND MANAGERIAL ACCOUNTING	<i>Cost & Management Accounting I</i>	6
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THEMATIC AREA 1: FINANCIAL ACCOUNTING & REPORTING

A. FUNDAMENTALS OF ACCOUNTING-I

1. Which of the following accounting specialization provide financial information for internal users?

- | | |
|--------------------|--------------------------|
| A. Cost accountant | B. Financial accountant |
| B. Tax accountant | D. Management accountant |

2. Which of the following is accounting information user is different from the others?

- | | |
|-------------------------|------------------------|
| A. Management employees | C. Suppliers |
| B. Government agencies | D. Potential customers |

3. Transferring data from journal to ledger refers to

- | | |
|-----------------|----------------|
| A. Journalizing | B. Transaction |
| B. Posting | D. Journal |

4. Sales were birr 700,000. Beginning inventory was birr 90,000. Purchases were birr 340,000. Ending inventory is birr 70,000. Operating expenses were birr 180,000. What will be the Gross Profit assuming that Purchase Returns of Br.90,000 and Discounts of Br.30,000.

- | | | | |
|----------------|----------------|----------------|---------------|
| A. Br. 460,000 | B. Br. 220,000 | C. Br. 330,000 | D. Br. 430,00 |
|----------------|----------------|----------------|---------------|

5. XYZ Company Purchas equipment on account, which effect is true

- | | |
|--|------------------------|
| A. Asset is decreases and liability is increases decreases | C. Asset and liability |
| B. Asset is increases and liability is decreases increases | D. Asset and liability |

6. On April 15of the current year ABC Company sold merchandise on account to XYZ Company for Br. 1,000, terms 2/10, n/30. On April 20, XYZ Co. returns merchandise worth Br. 300 to Buehler Company. On April 24, payment is received from XYZ Co. for the balance due. What is the amount of cash received?

- | | | | |
|------------|------------|------------|------------|
| A. Br. 980 | B. Br. 994 | C. Br. 686 | D. Br. 700 |
|------------|------------|------------|------------|

7. As of July Balageru Café had a beginning capital of 26,000 Br. During the month the owner withdraws Br 3000 for personal use and made Br 2000 additional investment in the business. At the end of the year Balageru Café incur a loss of Br. 8000. How much is the ending capital?

- A. 33,000 Br. B. 25,000 Br. C. 17,000 Br. D. 15,000Br.

B. FUNDAMENTALS OF ACCOUNTING-II

1. What account will be debited if purchase is made on account, & the firm uses perpetual inventory system?

- A. Purchase C. Accounts payable
B. Merchandise inventory D. Accounts receivable

2. Stocks that are issued and currently held in the hands of shareholders is termed as

- A. Authorized shares C. Outstanding shares
B. Issued shares D. Treasury shares

3. Which of the following is not an example for inventory item?

- A. Spare parts purchased for resale C. Cloths ready by boutique for resale
B. Furniture purchased by firms for office use D. Commodities held for sale

4. When there is a change in estimated depreciation:

- A. Only future years' depreciation should be revised
B. Previous depreciation should be corrected
C. Current and future years' depreciation should be revised
D. Only current year depreciation will be affected

5. Which of the following is not a major advantage of the corporate form of organization?

- A. Separate legal existence C. Continuous life.
B. Government regulations. D. Transferable ownership rights

6. Song Company has sales of Br. 150,000 & cost of goods available for sale of birr 135,000. If the gross profit rate is 30% of sale, the estimated cost of the ending inventory under the gross profit method is Birr:

A. 185,000Br. B. 105, 000 Br. C. 45,000 Br. D. 30,000 Br.

7. Which of the followings is ODD?

A. Pension contribution

C. Basic salary

B. Allowance

D. Overtime earning

8. Yirga and Selam are partners who share income in the ratio of 2:1 and who have capital balances of Br.65,000 and Br.35,000, respectively. If Dhugasa, with the consent of Selam, acquired one-half of Yirga's interest for Br.40,000, for what amount would Dhugasa's capital account be credited?

A) Br.50,000

B. Br.40,000

C. Br.32,500

D. Br.72,500

C. INTERMEDIATE FINANCIAL ACCOUNTING-I

1. Quality of information that checks or correct prior users' earlier expectations is termed as:

A. relevance

B. confirmatory value

C. verifiability

D. predictive value

2. Which of the following does the Conceptual Framework identify as the primary users of general purpose financial reports?

A. employees, investors and trade union representatives

B. existing and potential investors, lenders and other creditors

C. lenders and other creditors and customers

D. existing and potential investors, government agencies and the general public

Niles Co. has the following data related to an item of inventory:

Inventory, March 1 100 units @ Br.4.20

Purchase, March 7 350 units @ Br.4.40

Purchase, March 16 70 units @ Br.4.50

Inventory, March 31 130 units

3. The value assigned to ending inventory if Niles uses average cost method is

A. Br.579.25

B. Br.552.35

C. Br.546.

D.

Br.568.75.

4. ABC Corporation reports:

Cash provided by operating activities Br. 250,000

Cash used by investing activities 110,000

Cash provided by financing activities 140,000

Beginning cash balance 70,000

What is ABC Corporation's ending cash balance?

A. Br. 280,000. B. Br. 350,000 C. Br. 500,000 D. Br.570,000.

5. Goods on consignment are

A. Included in the consignee's inventory.

B. Recorded in a Consignment Out account which is an inventory account?

C. Recorded in a Consignment In account this is an inventory account.

D. Recorded in the buyers account

6. Which of the following does the Conceptual Framework identify as the primary users of general purpose financial reports?

A. employees, investors and trade union representatives

B. existing and potential investors, lenders and other creditors

C. lenders and other creditors and customers

D. existing and potential investors, government agencies and the general public

D. INTERMEDIATE FINANCIAL ACCOUNTING-II

1. Which of the following most accurately reflects the concept of depreciation as used in accounting?

- A. The process of charging the decline in value of an economic resource to income in the period in which the benefit occurred.
 - B. The process of allocating the cost of tangible assets to expense in a systematic and rational manner to those periods expected to benefit from the use of the asset.
 - C. A method of allocating asset cost to an expense account in a manner which closely matches the physical deterioration of the tangible asset involved.
 - D. An accounting concept that allocates the portion of an asset used up during the year to the contra asset account for the purpose of properly recording the fair market value of tangible assets.
2. According to IAS 16 companies' value property, plant, and equipment initially using?
- A. Cost method
 - B. Net realizable method
 - C. Revaluation method
 - D. Revaluation method & Net realizable method
3. Which of the following statements is true regarding investments in equity securities?
- A. If the investor owns less than 20 percent of outstanding voting common stock, the equity method usually is used
 - B. If the investor owns more than 50 percent of the outstanding voting common stock, the financial statements are not consolidated
 - C. If the investor owns 20-50 percent of the outstanding voting common stock, the equity method usually is used
 - D. If the investor owns less than 20 percent of outstanding voting common stock, the equity method usually is used
4. When applying the fair value method, an investor should report dividends from the investee as:
- A. A reduction in the investment account
 - B. As other comprehensive income item
 - C. Dividend revenue
 - D. An increase in the investment account
5. A service type warranty is usually recorded during sells as:
- A. Debiting warranty expense and crediting warranty liability
 - B. Debiting earned service revenue and crediting unearned service revenue

- C. Debiting cash and crediting unearned warranty liability
 - D. Debiting cash and crediting service warranty revenue
6. Suppose an asset with a cost of \$80,000 and residual value of \$10,000; which had been 60% depreciated was sold for \$30,000 cash. The company recognizes:
- A. Gain of \$2,000 B. Gain of \$8,000 C. Loss of \$8,000 D. Loss of \$2,000
7. When applying the equity method, an investor should report dividends from the investee as:
- A. Dividend revenue C. As other comprehensive income item
 - B. A reduction in the investment account D. An increase in the investment account

E. ADVANCED FINANCIAL ACCOUNTING-I

1. One of the following is NOT true.
- A. Valuation is important to ensure right price and secure loan application.
 - B. Liquidation value is realized when an asset is sold on a piecemeal basis.
 - C. Scope of the work describes fundamental premises or assumptions values are based.
 - D. A Premise of value describes the circumstances of how an asset or liability is used.
2. Items that determine some of the amounts payable to the policy holder are:
- A. Underlying Items B. Insurance Claims
 - B. Insured Event Items D. Insurance Risks
3. In the absence of active market for a biological asset, fair value is can be determined in all of the following ways, EXCEPT:
- A. Most recent transaction price
 - B. Market price for similar biological asset
 - C. Sector bench mark
 - D. Future value of expected net cash flows from the biological asset

4. Are the following statements true or false, according to IAS 41 Agriculture?

I. Ocean fishing is not an agricultural activity.

II. Fish in the ocean are biological assets

Statement I

Statement II

A. True

True

B. True

False

C. False

True

D. False

False

5. Pacific Company leased a building with adjoining land for 20 years. The fair value of the lease-held interests in the building and the land are respectively Br. 4,200,000 and Br.5,000,000. Title to the land is not expected to pass at the end of the lease term. What amount should be recognized in relation to the finance lease in the financial statement of Pacific Company?

A. \$9,200,000.00

C. \$4,200,000.00

B. \$5,000,000.00

D. \$800,000.00

6. Which of the following is an appropriate journal entry for initial recognition by a lessee of finance lease arrangement?

A. Debit: Leased Asset; Credit: Bank Loan

B. Debit: Leased asset; Credit: Lease Liability

C. Debit: Cash; Credit; Leased Asset

D. Debit: Leased Liability; Credit: Leased Asset

7. Queens' Company purchases 100 PCs in exchange for issuing 5,000 of its ordinary shares. The selling price for each PC is \$250.00, and the shares have par value of \$4.00 each. The journal entry to record receipt of the PCs in exchange for the issue of the ordinary shares is:

A. Equipment: Computer25,000
Ordinary Share Capital 25,000
B. Equipment: Computer20,000
Ordinary Share Capital 20,000
C. Equipment: Computer25,000
Ordinary Share Capital 20,000
Share Premium Account 5,000

D. Equipment: Computer20,000
Ordinary Share Capital 10,000
Share Premium Account 10,000

8. When does net operating loss occur?

- A. When tax deductible expense exceeds expense for book purpose
- B. When taxable revenue exceeds tax deductible expense for book purpose
- C. When tax deductible expense exceeds taxable revenue for tax purpose
- D. When taxable revenue exceeds tax deductible expense for tax purpose

F. ADVANCED FINANCIAL ACCOUNTING-II

1. In a business combination, costs paid for registering and issuing equity securities are:

- A. Added to the parent/investor company's investment account
- B. Deducted from share premium (APIC)
- C. Deducted from income in the period of combination
- D. Reduced from the parent company's investment account

2. The basis for preparation of consolidation is?

- A. Regulatory requirements
- B. Control
- C. 50% ownership interest
- D. 20% ownership interest

3. The foreign exchange rate for the immediate delivery of currencies exchanged is called the

- A. Forward rate
- B. Historical rate
- C. Market rate
- D. Spot rate

4. The acquisition cost of M- Corporation's investment in N-Company's 80% outstanding common stock was Br. 900,000, and the current fair value of N's identifiable net assets, which had a carrying amount of Br. 75,000, was Br. 937,500. Goodwill of the subsidiary and non-controlling interest in net assets of subsidiary are, respectively?

- A. Br. 150,000 and Br. 250,000
- B. Br. 15,000 and Br. 37,500
- C. Br. 150,000 and Br. 187,500
- D. Br 187,500 and Br. 225,000

5. Barry Corporation earns \$240,000 and pays cash dividends of \$80,000 during 2007. Blen Corporation owns 4,000 of the 10,000 outstanding shares of Barry. What amount should Blen show in the investment account at December 31, 2007 if the beginning of the year balance in the account was \$320,000?

- A. Br. 392,000 B. Br. 368,000 C. Br. 384,000 D. Br. 320,000

6. A subsidiary is an entity that:

- A. controls the parent entity in a group of entities C. exercises control over a parent entity
B. has the power to control a parent entity D. is controlled by a parent entity

7. Home office account is debited for:

- A. Merchandise provided to the branch by the HO C. Plant assets acquired by the branch
B. Cash provided to the branch by the HO D. Other assets received from the HO

8. Financial reports that are prepared with in the period of less than one fiscal year referred to as

- A. Consolidated financial reports C. Interim reports
B. Segment reports D. Condensed reports

THEMATIC AREA 2: COST AND MANAGERIAL ACCOUNTING

A. COST & MANAGEMENT ACCOUNTING-I

1. Which of the following statement is NOT correct about spoilage?

- A. Normal spoilage occurs under efficient operating conditions.
B. Abnormal spoilage is uncontrollable in the short run.
C. The costs of normal spoilage are accounted as cost of good units.
D. The costs of abnormal spoilage is recorded and reported as loss.

2. Which one of the following production situation is not for process costing system?

- A. Cement factory C. House hold Furniture factory

B. Chemical factory

D. An Oil factory

3. Able Company's manufacturing overhead cost is 20% of its total conversion costs. If direct labor is Br. 45,000 and if direct materials are Br.53,000, the manufacturing overhead is:

A. Br. 56,250

B. Br.11,250

C. Br.45,000

D. Br.24,500

4. The David Corporation manufactures widgets, gizmos, and turnbols from a joint process. May production is 2,000 widgets; 3,500 gizmos; and 4,000 turnbols. Respective per unit selling prices at split off are Br.30, Br.20, and Br.10. Joint costs up to the split off point are Br.75,000. If joint costs are allocated based upon the sales value at split off, what amount of joint costs will be allocated to the widgets Product?

A. Br.30,882

B. Br.26,471

C. Br.17,647

D. Br.28,125

5. Prime cost and conversion cost share what common element of total cost?

A. Direct materials

C. Direct labor

B. Manufacturing overhead

D. Fixed overhead.

6. Mary works at a convenience store and is paid \$400 a week. She considers enrolling in a college to earn a degree. She thinks she will have to quit her job if she goes to college. The wages that she will lose if she chooses college are:

A. Sunk cost

B. Opportunity cost

C. Prime cost

D. Differential cost

B. COST & MANAGEMENT ACCOUNTING-II

1. Operating budget start with revenues budget and ends with _____.

A. budgeted income statement

B. revenues budget

C. The production budget

D. The cash budget

2. Financing budgets include all except:

- | | |
|--------------------------------|-------------------------------------|
| A) Capital expenditures budget | C) budgeted statement of cash flows |
| B) Budgeted income statement | D) budgeted balance sheet |

Answer the following questions 17-19 using the information below:

Bowden Corporation used the following data to evaluate their current operating system. The company sells items for \$21 each and used a budgeted selling price of \$20 per unit.

	Actual	Budgeted
Units sold	45,000 units	45,000 units
Variable costs	\$226,000	\$216,000
Fixed costs	\$47,500	\$50,000

3. What is the static-budget variance of revenues?

- A) \$20,000 favorable
- B) \$45,000 favorable
- C) \$21,000 Unfavorable
- D) \$45,000 unfavorable

4. What is the static-budget variance of variable costs?

- A) \$10,000 favorable
- B) \$20,200 favorable
- C) \$10,000 Unfavorable
- D) \$10,200 unfavorable

5. A flexible budget:

- | | |
|--|---|
| A. is developed at the end of the period | C. is based on the budgeted level of output |
| B. is another name for management by exception | D. provides favorable operating results |

6. Financing budgets include all except:

- A. capital expenditures budget
- B. budgeted income statement
- C. budgeted statement of cash flows
- D. budgeted balance sheet

7. The following data relate to direct materials costs for Department B:

Actual costs 4,600 pounds at \$5.50

Standard costs 4,500 pounds at \$6.00

What is the direct materials price variance?

- A. \$2,250 favorable
- B. \$2,250 unfavorable
- C. \$2,300 favorable
- D. \$1,700 unfavorable

THEMATIC AREA 3: FINANCE AND INVESTEMENT

A. FINANCIAL MANAGEMENT-I

1. A Cost represents component costs are combined to determine the overall cost of capital?

- A. Historical Cost
- B. Future Cost
- C. Component Cost
- D. Composite Cost

2. The discount rate that equates the present value of a project's expected cash inflows to the present value of the project's costs: or, equivalently, the rate that forces the NPV to equal zero.

- A. Net Present Value of Return
- C. Internal Rate

B. Payback Period
Index

D. Profitability

3. The ability of a firm to use fixed financial charges to magnify the effects of changes in EBIT on the earnings per share.

A. Operating Leverage

C. Leverage

B. Financial Leverage
Leverage

D. Total

4. The relationship between the various long-term sources financing such as equity capital, preference share capital and debt capital.

A. Cost of Capital
Structure

C. Capital

B. Debt Security
Security

D. Equity

5. An example of one of project classification is pollution control equipment, medical dispensary, fire fitting equipment, and so on.

A. Replacement

C. Expansion

B. Mandatory
Diversification

D.

B. FINANCIAL MANAGEMENT-II

1. ABC inventory control focuses on those

A) Items not readily available

B) Items which consume less money

C) Items which have more demand

D) Items which consume more money

2. Speculative motive of holding cash refers to

A) Holding the cash to utilize it in internal projects

B) Holding the cash for any future loss the company is expecting

- C) Holding the cash to avail any future investment opportunity
 - D) Holding the cash to utilize it for international project
3. What is collection float?
- A) The cash you receive for sales via checks.
 - B) The total amount of debt owed to you that customers will pay with checks.
 - C) The total value of checks that are in the mail on their way to you.
 - D) The total value of checks between the time you deposit the checks into your account and the time it's available to use.
4. In the lockbox system, customers mail checks to which of the following?
- A) The business' bank box
 - B) The business consolidation center
 - C) A post office
 - D) A cash
5. What is a disadvantage of the lockbox system?
- A. It decreases acceleration of collections
 - B. It increases collection time
 - C. It requires cash concentration
 - D. It costs money
6. Kaldis coffee manager implementing an accelerated collections process for his business. How might this affect his company's finances?
- A) Total assets will increase
 - B) Cash flow will increase
 - C) Net revenue will increase
 - D) Inventory turnover will decrease

C. FINANCIAL MARKET & INSTITUTION-I

1. Which one is the oldest of all money market instruments?

A. Commercial paper	C. Treasury bill
B. Banker acceptance agreement	D. Repurchase
2. The largest portion of commercial bank funds come from?

A. Loan	B. Financial market	C. Shareholders capital
D. Deposit		
3. A form of lending and borrowing by the help of broker and dealer is good example of

A. Direct financing	B. Indirect financing
B. Semi-direct financing	D. Redirect financing
4. Which of the following are not functions performed by a central bank

A. Controller of Credit from customers	C. Accepting deposit
B. Banker to the Government Exchange Reserves	D. Custodian of
5. Which of the following is not the Reasons behind the Regulation of financial institutions is

A. Safety of the public's funds	B. To create competitiveness between financial institutions
C. Promoting public confidence in the financial statements	
D. Ensuring equal opportunity and fairness in the public access to financial services	
6. Under the financial regulation one is most regulated.

A. Commercial bank	C. Saving banking
B. Industrialized company	D. Investment bank
7. Which of the following is a not characteristic of 'auction market'?

- A. buyers and sellers execute trades in an open and competitive bidding process
 - B. there is necessarily a fixed place where buyers and sellers physically meet
 - C. All of the needed information about bid prices and asked prices is centralized in one location
 - D. There are no private exchanges between individual buyers and sellers are made out of the centralized facility
8. All of the following are part of the general utility services of commercial banks except
- A. Providing safety locker facility
 - B. Underwriting securities
 - C. Providing Traveler's cheques
 - D. Collection of dividends on share

THEMATIC AREA 4: AUDITING AND ASSURANCE SERVICES

A. AUDITING PRINCIPLES AND PRACTICE-I

- 1) Which of the following forms of evidence is most reliable?
- A. General ledger account balances.
 - B. Confirmation of accounts receivable balance received from a customer.
 - C. Internal memo explaining the issuance of a credit memo.
 - D. Copy of month-end adjusting entries.
- 2) The introductory paragraph of the standard audit report states that the auditor is:
- A. Responsible for the financial statements and the opinion on them.
 - B. Responsible for the financial statements.
 - C. Responsible for the opinion on the financial statements.
 - D. Jointly responsible for the financial statements with management.

3) If a misstatement is immaterial to the financial statements of the entity for the current period, but is expected to have a material effect in future periods, it is appropriate to issue a(n):

- A. Adverse opinion.
- B. Qualified opinion.
- C. Unqualified opinion.

4) Which is not the objective of Operational audit?

- A. Evaluating Unit performance in relation to established criteria
- B. Assuring that all operating reports are on constant basis
- C. Assuring operational efficiency and economy
- D. Assuring fair presentation of financial statements

5) The main reason why external auditors obtain audit evidence is to

- A. Establish evidence for future reference
- B. Use it as a basis of his/her opinion on the financial statements
- C. Develop audit plan
- D. Assess inherent risk

6) The most reliable type of audit evidence that an auditor can obtain is:

- A. Physical examination by the auditor.
- B. External documents
- C. Confirmation received directly from third parties
- D. Calculations by the auditor from company records

B. AUDITING PRINCIPLES AND PRACTICE-II

1. How many classes of transactions are involved in the acquisition and payment cycle?

- A. One class of transaction

- B. Three classes of transactions
 - C. Two classes of transactions
 - D. Four classes of transactions
2. A File records acquisitions, cash disbursements, and acquisition returns and allowances transactions for each vendor
- A. Accounts Payable Mater File
 - B. Accounts Payable Trial Balance
 - C. Perpetual Inventory Master File
 - D. Cash Disbursements Transaction File
3. A transaction related Audit objective indicates “Recorded Acquisitions Are for Goods and Services Received, Consistent with the Best Interests of the Client”
- A. Occurrence Audit Objective
 - B. Classification Audit Objective
 - C. Completeness Audit Objective
 - D. Accuracy Audit Objective
4. An auditor most likely would extend substantive tests of payroll when
- A. Payroll is extensively audited by the state government.
 - B. Payroll expense is moderately higher than the prior years.
 - C. Payroll significantly affects the valuation of Inventory.
 - D. Employees complain to management about too much overtime
5. Audit procedures for Cash Disbursement transaction does not include in Occurrence audit objectives
- A. Compare classification with chart of accounts by referring to vendor’s invoices and acquisitions journal.

How much does the firm pay as excise tax on this import? Hint tax rate for Textile items 10%)

- A. 53, 000 B. 480,000 C. 430, 000 D. 980,000

4. Which one of the following is not the role of fiscal policy in the economic development of a country?

- A. To reduce the economic equalities of income and worth
- B. To reduce both regional and social imbalance by direct investment to less developed countries.
- C. To control inflation within tolerable levels
- D. To allocate more resource for investment and to restrain consumption

5. One of the following is/are NOT true about declaration and payment of business tax

- A. Category” A “ tax payers with in 3 month after the end of the fiscal year
- B. Category” B “ tax payers with in 2 month after the end of the fiscal year
- C. Category” C “ tax payers with in 1 month after the end of the fiscal year
- D. Category” A “ tax payers with in 4 month after the end of the fiscal year

B. ACCOUNTING FOR PUBLIC SECTOR AND CIVIL SOCIETY

6. An accounting system that serves as an essential device to prevent overspending of general fund appropriations is called:

- A. Modified Accrual Accounting C. Cash basis Accounting
- B. Encumbrance Accounting D. Accrual Basis of Accounting

7. According to the general rule for recognizing revenues in government funds, revenue is recognized when:

- A. the budget is adopted C. available and measurable
- B. collected in cash D. collected in cash or when the budget is adopted

8. Short term borrowings by special revenue fund are recorded in the balance sheet of:

- | | |
|----------------------|--------------------------|
| A. Debt Service Fund | C. Capital Projects Fund |
| B. General Fund | D. Special Revenue Fund |

9. Bond issues that mature in their entirety on a given date are called:

- | | |
|-----------------|--------------------|
| A. Serial Bonds | C. Annuity Bonds |
| B. Term Bonds | D. Irregular Bonds |

10. Assets of Not-for-Profit organizations that come from contributions with donor restrictions to be released at some future periods to be used according to donors' wish are

- | | |
|--------------------------------------|--------------------------------------|
| A. Temporarily Restricted Net Assets | C. Permanently Restricted Net Assets |
| B. Unrestricted Net Assets | D. Donor-Provided Net Assets |

11. In which of the following funds are assets exactly equal to liabilities?

- | | |
|-----------------------|-----------------|
| A. Pension Trust Fund | C. General Fund |
| B. Enterprise Fund | D. Agency Fund |

12. Which of the following steps in the acquisition of goods and services by an activity accounted for by the General Fund occurs first?

- | | |
|-------------------|--------------------|
| A. Appropriation. | C. Disbursement. |
| B. Encumbrance. | D. D. Expenditure. |

13. Which of the following funds of a governmental unit uses the modified accrual basis of accounting?

- | | |
|--------------------------|-----------------------|
| A. Internal Service Fund | C. Debt Service Fund |
| B. Enterprise Fund | D. Pension Trust Fund |



ADMAS UNIVERSITY

KALITI CAMPUS

FACULTY OF BUSI

NESS

DEPARTMENT OF ACCOUNTING AND FINANCE

MODEL EXIT EXAM I

ANSWER KEY

FULL NAME: _____

ID: _____

SECTION: _____

THEMATIC AREA 1: FINANCIAL ACCOUNTING AND REPORTING

FUNDAMENTALS OF ACCOUNTING-I

1.D	2.A	3.B	4.A	5.D	6.C	7.C	
FUNDAMENTALS OF ACCOUNTING-II							
1.B	2.C	3.B	4.C	5.B	6.D	7.A	8.C
INTERMEDIATE FINANCIAL ACCOUNTING-I							
1.B	2.B	3.D	4.B	5.B	6.B		
INTERMEDIATE FINANCIAL ACCOUNTING-II							
1.B	2.A	3.C	4.C	5.C	6.D	7.B	
ADVANCED FINANCIAL ACCOUNTING-I							
1.C	2.A	3.D	4.B	5.C	6.B	7.C	8.C
ADVANCED FINANCIAL ACCOUNTING-II							
1.B	2.B	3.D	4.C	5.C	6.D	7.A	8.C
THEMATIC AREA 2: COST AND MANAGERIAL ACCOUNTING							
COST AND MANAGEMENT ACCOUNTING-I							
1.B	2.C	3.B	4.B	5.C	6.B		
COST AND MANAGEMENT ACCOUNTING-II							
1.	2.	3.A	4.B	5.A	6.A		
THEMATIC AREA 3: CORPORATE FINANCE & FINANCIAL INSTITUTIONS							
FINANCIAL MANAGEMENT-I							
1.D	2.C	3.B	4.C	5.B	6.D		
FINANCIAL MANAGEMENT-II							
1.D	2.C	3.D	4.C	5.D			
FINANCIAL MARKET AND INSTITUTION							
1.C	2.D	3.B	4.C	5.B	6.A	7.B	8.D
THEMATIC AREA 4: AUDITING AND ASSURANCE SERVICES							

AUDITING PRINCIPLES AND PRACTICE-I							
1.B	2.C	3.C	4.D	5.B	6.A		
AUDITING PRINCIPLES AND PRACTICE-II							
1.B	2.A	3.A	4.C	5.A	6.D		
THEMATIC AREA 5: TAXATION AND PUBLIC SECTOR ACCOUNTING							
PUBLIC AND FINANCE AND TAXATION							
1.B	2.A	3.A	4.A	5.A			
ACCOUNTING FOR PUBLIC SECTOR AND CIVIL SOCIETY							
1.D	2.A	3.B	4.A	5.C	6.C	7.B	8.C